

Fortinet Inc. (FTNT)

\$166.83 (Stock Price as of 07/14/2026)

Price Target (6-12 Months): **\$192.00**

Long Term: 6-12 Months

Zacks Recommendation:

Outperform

(Since: 07/14/26)

Prior Recommendation: Neutral

Short Term: 1-3 Months

Zacks Rank: (1-5)

1-Strong Buy

Zacks Style Scores:

VGM:F

Value: F

Growth: B

Momentum: F

Summary

Fortinet shares are benefitting from a strong product roadmap built on FortiOS 8.0, AI-driven security, next-generation SASE, quantum-safe capabilities and new FortiGate 3500G/400G firewalls. Fortinet reported 1Q'26 product revenue growth of 41% to \$645 million. The company guided 2Q'26 revenue to \$1.83-\$1.93 billion and billings to \$2.09-\$2.19 billion, while raising full-year 2026 revenue guidance to \$7.71-\$7.87 billion. Large enterprise traction remains strong, with deal value above \$1 million growing 63% and both the number and value of deals above \$1 million rising more than 60%. However, Fortinet still faces risks from competitive and pricing pressure, longer sales cycles, reduced IT spending, AI-related technology shifts, tariffs, trade barriers and geopolitical uncertainty, all of which could affect growth and margins.

Data Overview

52 Week High-Low	\$170.35 - \$70.12
20 Day Average Volume (sh)	5,673,918
Market Cap	\$122.2 B
YTD Price Change	110.1%
Beta	1.09
Dividend / Div Yld	\$0.00 / 0.0%
Industry	Security
Zacks Industry Rank	Top 19% (46 out of 247)

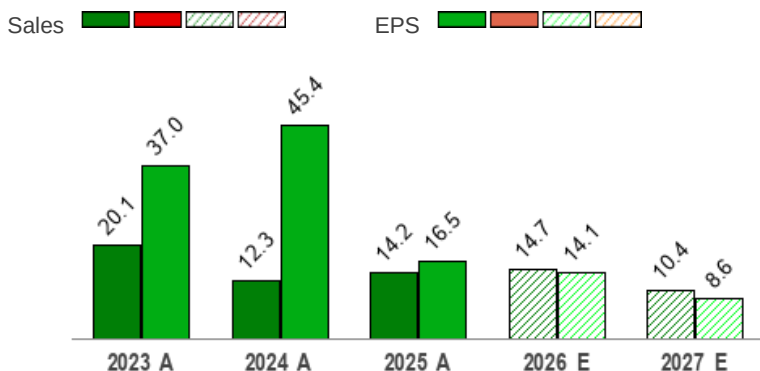
Last EPS Surprise	34.4%
Last Sales Surprise	6.8%
EPS F1 Est- 4 week change	0.7%
Expected Report Date	07/29/2026
Earnings ESP	0.0%

P/E TTM	55.4
P/E F1	53.0
PEG F1	NA
P/S TTM	17.2

Price, Consensus & Surprise⁽¹⁾



Sales and EPS Growth Rates (Y/Y %)⁽¹⁾



Sales Estimates (millions of \$)⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	2,002 E	2,075 E	2,151 E	2,346 E	8,604 E
2026	1,850 A	1,882 E	1,945 E	2,124 E	7,797 E
2025	1,540 A	1,630 A	1,725 A	1,905 A	6,800 A

EPS Estimates⁽¹⁾

	Q1	Q2	Q3	Q4	Annual*
2027	0.77 E	0.81 E	0.85 E	0.95 E	3.42 E
2026	0.82 A	0.75 E	0.76 E	0.83 E	3.15 E
2025	0.58 A	0.64 A	0.74 A	0.81 A	2.76 A

*Quarterly figures may not add up to annual.

1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 07/14/2026.

2) The report's text and the price target are as of 07/15/2026.

Overview

Headquartered in Sunnyvale, CA, Fortinet, Inc. is a leader in cybersecurity, driving the convergence of networking and security. It provides integrated security solutions to enterprises, service providers and government entities across 100 countries.

Its integrated platform, the Fortinet Security Fabric, spans secure networking, unified Secure Access Service Edge (SASE) and AI-driven security operations (SecOps). The platform incorporates FortiOS, its proprietary networking and security operating system, and FortiASIC, custom application-specific integrated circuits, to deliver superior security performance while reducing network complexity and total cost of ownership.

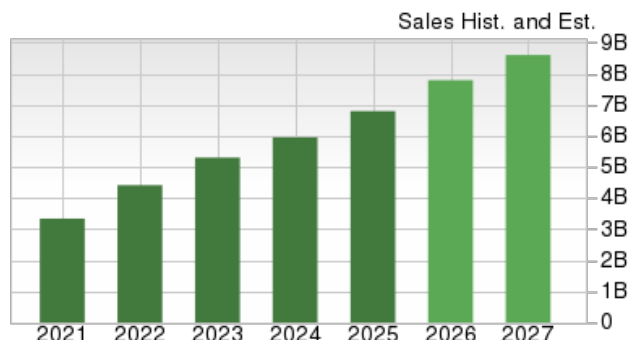
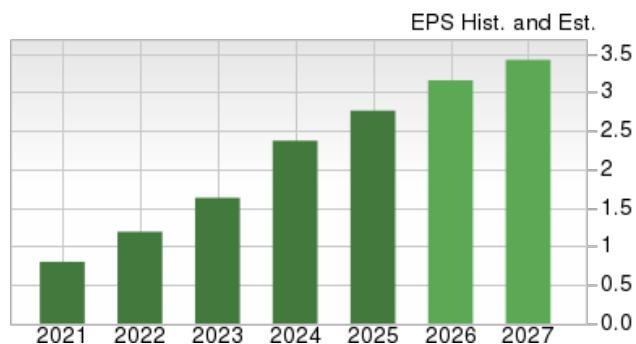
Through its products and subscription services, the company provides converged protection against dynamic security threats while simplifying IT security infrastructure. Its solutions defend against multiple attack categories without impacting network performance, enabling customers to implement security policies on traffic between internal and external networks.

Its flagship offering includes the FortiGate product line and FortiGuard security subscription services. In 2025, Fortinet was recognized as a Leader in the inaugural Gartner Magic Quadrant for Hybrid Mesh Firewall and for SASE Platforms, and launched its Secure AI Data Center solution. Unified SASE and SecOps billings grew 24% year over year.

Products and services are sold through a two-tier distribution model via distributors including Exclusive Networks, Ingram Micro, Arrow Electronics and TD Synnex. The company serves well over half a million customers worldwide, including roughly 80% of Fortune 100 companies.

Fortinet reported revenues of \$6.8 billion in 2025, up 14% from 2024. Product revenue was \$2.22 billion, up 16%, while service revenue of \$4.58 billion grew 13% year over year.

The company faces significant competition from Palo Alto Networks, CyberArk, Qualys and Cisco in network security and cloud security.



As of 07/14/2026



As of 07/14/2026

Reasons To Buy:

▲ Fortinet's aggressive product roadmap positions the company to capitalize on escalating cybersecurity demands throughout 2026. The rollout of FortiOS 8.0 with AI-driven security, next-generation SASE and quantum-safe capabilities, alongside FortiGate 3500G and 400G firewalls, addresses critical enterprise needs for unified security platforms. Management's strategic focus on expanding Unified SASE, Secure SD-WAN, FortiSASE and Security Fabric integration through a single FortiOS operating system creates compelling migration opportunities from legacy competitors. Secure Networking billings grew 32%, Unified SASE billings grew 31%, and AI-driven Security Operations billings grew 23% in the first quarter of 2026. The company's 20+ AI-driven solutions and 500+ issued and pending AI patents strengthen competitive positioning against both established players and emerging challengers in this rapidly evolving market landscape.

Product ramp ups, deal wins, continuous growth of the network security market and expected benefits from the ongoing investments are the positives.

▲ The network security market is experiencing structural expansion as enterprises prioritize AI, OT, edge security, SASE, cloud protection and vendor consolidation, creating substantial growth runway for Fortinet in 2026. Fortinet's presentation identifies 2029 TAM opportunities of \$65 billion in Secure Networking, \$79 billion in Unified SASE and \$166 billion in AI-driven Security Operations. Fortinet's addressable market encompasses firewall modernization, secure access service edge deployment, and operational technology security—all experiencing accelerated adoption. The convergence of networking and security functionality particularly benefits integrated platform providers like Fortinet. Organizations replacing point solutions with consolidated security frameworks generate larger deal sizes and recurring revenue opportunities. The shift toward subscription-based security consumption models aligns with Fortinet's business transformation, with service revenue growing 11% to \$1.21 billion, service billings reaccelerating to 27%, and deferred revenue increasing 15% in the first quarter.

▲ Fortinet's success securing large enterprise contracts throughout the first quarter of 2026 demonstrates strong market validation and creates predictable revenue streams. The company's ability to displace incumbent vendors in Fortune 500 environments reflects superior total cost of ownership and performance metrics. Large enterprise strength was notable, with Fortinet reporting that both the number of deals greater than \$1 million and total deal value grew more than 60%. Multi-year enterprise agreements increasingly include comprehensive security fabric deployments spanning network perimeter, cloud workloads, and endpoint protection. Recent seven-figure wins included AI data center deployments, a multinational energy company deploying SD-Branch across more than 3,000 locations and OT security across 300 global sites, and a global manufacturer selecting FortiSASE for approximately 40,000 users. The lengthening of contract durations and expanding average contract values indicate deepening customer relationships. This enterprise momentum generates compounding effects through reference selling and ecosystem expansion that accelerates market penetration.

▲ Fortinet's ongoing investments in sales capacity, cloud infrastructure, and AI capabilities are positioned to generate meaningful operating leverage improvements throughout 2026 and beyond. The company's strategic hiring initiatives completed over recent quarters create productivity advantages as field teams mature and reach full effectiveness. Investments in automation and cloud-native delivery models reduce incremental costs while improving customer experience and retention. The transition toward higher-margin subscription and service revenue streams enhances profitability trajectory. Management's disciplined approach balances growth investments with margin expansion targets, creating dual shareholder value drivers. First-quarter 2026 non-GAAP operating margin was 36%, GAAP operating margin was 31%, operating cash flow reached a record \$1.08 billion and free cash flow reached a record \$1.01 billion. These investments establish foundations for sustained margin improvement while maintaining innovation leadership in an increasingly competitive cybersecurity landscape.

Risks

- Fortinet operates in an increasingly crowded cybersecurity landscape where differentiation becomes progressively difficult. Rivals like Palo Alto Networks, CrowdStrike, and Zscaler aggressively pursue the same enterprise clients with comparable or superior platform capabilities. The convergence of security functions into unified platforms diminishes Fortinet's historical edge in network security appliances. Cloud-native competitors offering seamless integration with major cloud providers pose threats to traditional firewall-centric approaches. Additionally, larger technology conglomerates with deeper resources are expanding their security portfolios, creating bundling advantages that independent vendors cannot match. This competitive intensity compresses pricing power and forces elevated marketing expenditures, ultimately pressuring profitability margins and challenging sustainable growth trajectories in an already commoditizing segment. Fortinet's own forward-looking risk disclosures cite competition, pricing pressure and technological changes, including advances in artificial intelligence, as factors that could make its products and services less competitive.
 - Enterprise technology budgets face continued scrutiny as economic uncertainty persists, directly impacting Fortinet's revenue predictability. Organizations increasingly delay security infrastructure refreshes and consolidate vendors to reduce costs, threatening both product sales and subscription renewals. The shift toward consumption-based models creates revenue recognition challenges and reduces upfront commitments that previously provided financial stability. Customers demand longer evaluation periods and more aggressive discounting before purchasing decisions, extending sales cycles and diminishing deal profitability. Federal and public sector clients, traditionally strong revenue contributors, face appropriations uncertainties that could freeze procurement activities. These deteriorating spending patterns suggest weakening demand fundamentals that could persist throughout economic volatility, making near-term revenue targets increasingly difficult to achieve. Fortinet's Q1 2026 materials specifically flag reduced information technology spending, longer sales cycles for large enterprise, service provider and government customers, sales execution risks and potential U.S. government shutdown impacts as risks.
 - Macroeconomic headwinds create an inhospitable environment for security infrastructure investments, particularly affecting capital-intensive firewall deployments. Inflation, stagflation, changing interest rates, tariffs, trade disputes and other trade barriers increase the cost and uncertainty of enterprise technology purchases, deterring large-scale security transformations that benefit Fortinet. Potential recessionary pressures encourage organizations to defer discretionary spending, with security hardware upgrades often considered postponable compared to operational necessities. Foreign exchange volatility erodes international revenue when converted to dollars, diminishing reported financial performance despite operational execution. Supply chain disruptions, though Fortinet says its direct operations and manufacturing model helped turn supply-chain challenges into opportunities, continue creating component cost pressures and delivery uncertainties that frustrate customer relationships. Geopolitical tensions further complicate international expansion strategies and create regulatory complications in key growth markets. This confluence of economic challenges fundamentally undermines the predictability required for premium valuations.
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Last Earnings Report

Fortinet Q1 Earnings & Revenues Beat Estimates, Increase Y/Y

Fortinet reported impressive first-quarter 2026 results, wherein both earnings and revenues surpassed the Zacks Consensus Estimate and improved year over year, exceeding the high end of the company's guidance across billings, revenues, operating margin and earnings per share.

Fortinet reported first-quarter 2026 non-GAAP earnings per share (EPS) of 82 cents, which beat the Zacks Consensus Estimate by 34.43% and grew 41% year over year.

Total revenues of \$1.85 billion beat the consensus mark by 6.79% and improved 20% year over year, driven by broad-based demand across the portfolio, strong execution in the large-enterprise segment and robust traction in Unified SASE, AI-driven security operations and operational technology (OT) markets.

Total deferred revenues (current + long-term portions combined) came in at \$7.35 billion, while the current portion was \$3.73 billion as of March 31, 2026.

Total billings increased 31% year over year to \$2.09 billion, led by 32% growth in secure networking, more than 70% growth in OT, 31% growth in Unified SASE and 23% growth in AI-driven security operations.

FTNT's Q1 in Detail

Segment-wise, Product revenues increased 41% year over year to \$645.1 million, representing 34.9% of total revenues. Growth was driven by demand for higher-performance FortiGate appliances, AI-related deployments — including investments to support increased throughput, segmentation and security across AI infrastructure — technology upgrades, upselling and expansion into new use cases, with a low single-digit contribution from recent pricing changes.

Service revenues of \$1.20 billion grew 11% year over year, accounting for 65.1% of total revenues. Service billings reaccelerated to 27% growth, and deferred revenues grew 15%, supported in part by SecOps annual recurring revenue (ARR) gains. The company added more than 6,600 new organizations to its FortiOS platform in the quarter, spanning small and mid-size businesses, mid-market and large enterprises. Within large enterprises, the number of deals greater than \$1 million and total deal value both grew more than 60%, with notable strength in Europe and the United States. FortiSASE adoption among large enterprise customers rose to 18% from 16% in the prior quarter — an increase of more than 45% year over year.

Margins of FTNT

Total GAAP gross margin was 80.3%, contracting 70 basis points (bps) year over year on the strong product mix shift but holding firm through disciplined cost management. Product gross margin expanded to 67.7%, while service gross margin held steady at 87%.

GAAP operating margin expanded 190 bps year over year to 31.4% in the first quarter. On a non-GAAP basis, operating margin expanded 160 bps to a first-quarter record of 35.8%, reflecting strong operational leverage and effective cost management. Non-GAAP gross margin came in at 81%.

FTNT's Balance Sheet & Cash Flow

Fortinet exited the first quarter of 2026 with cash and cash equivalents and short-term investments of \$3.29 billion, down from \$3.58 billion reported at the end of the fourth quarter of 2025, reflecting \$823 million of stock repurchases and the \$500 million repayment of senior notes during the quarter.

Cash flow from operations was a record \$1.08 billion for the first quarter of 2026, up from \$863.3 million in the prior-year quarter. Free cash flow was a record \$1.01 billion for the first quarter of 2026, up from \$782.8 million in the prior-year quarter. Adjusted free cash flow reached \$1.07 billion, up 27% year over year, representing a 57.6% margin.

The company repurchased 10.6 million shares of common stock for \$827 million during the first quarter, with an additional 1.9 million shares for \$146 million purchased quarter to date. The remaining share repurchase authorization stands at approximately \$766 million.

FTNT's Q2 & 2026 Guidance

Fortinet expects second-quarter revenues in the range of \$1.83-\$1.93 billion. Billings are estimated in the band of \$2.09-\$2.19 billion. The non-GAAP gross margin is expected to be in the range of 79.5-80.5%, while the non-GAAP operating margin is anticipated between 33% and 35%. Non-GAAP EPS is projected in the band of 72-76 cents.

For 2026, FTNT raised its outlook and now predicts revenues in the range of \$7.71-\$7.87 billion (up from prior \$7.50-\$7.7 billion). Services revenues are projected in the range of \$5.09-\$5.15 billion. Billings are expected in the band of \$8.8-\$9.1 billion (up from prior \$8.4-\$8.6 billion). The non-GAAP gross margin is expected in the range of 79-81%, and the operating margin is projected in the band of 33-36%. Non-GAAP EPS is anticipated to be between \$3.1 and \$3.16 (up from prior \$2.94-\$3).

FY Quarter Ending

12/31/2025

Earnings Reporting Date	May 06, 2026
Sales Surprise	6.79%
EPS Surprise	34.43%
Quarterly EPS	0.82
Annual EPS (TTM)	3.01

Recent News

On July 14, Fortinet expanded its unified endpoint platform, FortiEndpoint, with new AI-era capabilities — including AI visibility and governance, native data loss prevention for AI interactions, endpoint risk scoring, adaptive zero-trust access, and built-in FortiAI-Assist for natural language investigations — all delivered through one agent, one console, and one license, with availability expected in Q3 2026.

On June 16, Fortinet launched FortiSOC, a new unified, cloud-delivered security operations center (SOC) platform powered by agentic AI that consolidates six core security operations functions — including SIEM, SOAR, threat intelligence, and identity threat detection — into a single SaaS experience with one console and one subscription, designed to autonomously investigate and correlate alerts across assets and identities, then recommend or execute response actions under analyst oversight.

On May 12, Fortinet deepened its integration with NVIDIA by accelerating the FortiAIGate solution with NVIDIA's AI platforms and software technologies, delivering a joint solution that protects AI workloads, data, and autonomous agents in real time across data centers and the cloud — enabling organizations to monitor AI usage and scale agentic AI deployments while maintaining performance, governance, and data sovereignty.

On May 6, Fortinet expanded its FortiGate G series portfolio by announcing two new next-generation firewalls — the FortiGate 3500G and 400G — featuring ASIC-accelerated performance, flexible connectivity, and hardware-enforced integrity protections designed to eliminate trade-offs between scale and security, keeping pace with growing encrypted traffic and AI-driven workloads across distributed enterprise environments.

Valuation

Fortinet shares are up 107.8% in the year-to-date period, while up 59.8% over the trailing 12-month period. Stocks in the Zacks sub-industry have gained 75.6% while the Zacks Computer and Technology sector has increased 15.8% in the year-to-date period. Over the past year, the Zacks sub-industry has increased 59.2% while the sector is up 34.1%, respectively.

The S&P 500 index is up 10.3% in the year-to-date period and up 23.8% in the past year.

The stock is currently trading at 8.33X forward 12-month sales, which compares to 10.78X for the Zacks sub-industry, 6.62X for the Zacks sector and 5.21X for the S&P 500 index.

Over the past five years, the stock has traded as high as 16.28X and as low as 6.28X, with a 5-year median of 9.07X. Our Outperform recommendation indicates that the stock will perform better than the market. Our \$192 price target reflects 9.58X forward 12-month sales.

The table below shows summary valuation data for FTNT

Valuation Multiples - FTNT					
		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	8.33	10.78	6.62	5.21
	5-Year High	16.28	19.29	7.43	5.63
	5-Year Low	6.28	6.81	4.34	3.81
	5-Year Median	9.07	11.32	6.29	5.04
EV/Sales TTM	Current	9.26	12.69	8.46	5.47
	5-Year High	18.52	23.31	8.46	5.82
	5-Year Low	7.10	8.07	4.20	3.73
	5-Year Median	10.42	13.43	6.94	5.07
EV/EBITDA TTM	Current	24.80	48.44	20.35	17.69
	5-Year High	75.14	126.25	22.85	21.54
	5-Year Low	20.86	37.62	12.25	13.82
	5-Year Median	35.40	73.73	18.42	17.80

As of 07/14/2026Source: Zacks Investment Research

Industry Analysis⁽¹⁾ Zacks Industry Rank: Top 19% (46 out of 247)



Top Peers⁽¹⁾

Company (Ticker)	Rec	Rank
Cisco Systems, Inc. (CSCO)	Outperform	1
Fortinet, Inc. (FTNT)	Outperform	1
Check Point Software Technologies Ltd. (CHKP)	Neutral	3
CrowdStrike (CRWD)	Neutral	4
Okta, Inc. (OKTA)	Neutral	2
Palo Alto Networks, Inc. (PANW)	Neutral	3
Qualys, Inc. (QLYS)	Neutral	3
Varonis Systems, Inc. (VRNS)	Neutral	3

Industry Comparison ⁽¹⁾ Industry: Security				Industry Peers		
	FTNT	X Industry	S&P 500	CHKP	CRWD	PANW
Zacks Recommendation (Long Term)	Outperform	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	1	-	-	3	4	3
VGM Score	F	-	-	C	C	F
Market Cap	122.23 B	24.59 B	44.46 B	14.47 B	214.58 B	287.61 B
# of Analysts	15	12	22	15	15	21
Dividend Yield	0.00%	0.00%	1.34%	0.00%	0.00%	0.00%
Value Score	F	-	-	C	F	F
Cash/Price	0.03	0.11	0.03	0.20	0.02	0.01
EV/EBITDA	43.32	43.32	14.04	13.32	333.55	116.70
PEG Ratio	-289.07	3.27	1.83	3.27	6.16	7.05
Price/Book (P/B)	123.41	10.39	3.67	5.14	45.90	10.40
Price/Cash Flow (P/CF)	53.86	53.86	14.63	11.99	287.55	117.81
P/E (F1)	52.03	52.91	18.53	13.10	170.86	93.61
Price/Sales (P/S)	17.19	8.44	3.12	5.25	42.12	27.12
Earnings Yield	1.89%	1.89%	5.34%	7.63%	0.58%	1.07%
Debt/Equity	0.50	0.16	0.57	0.70	0.16	0.04
Cash Flow (\$/share)	3.10	3.00	9.62	11.43	0.73	3.00
Growth Score	B	-	-	D	A	C
Hist. EPS Growth (3-5 yrs)	43.81%	36.53%	6.96%	11.53%	NA	65.13%
Proj. EPS Growth (F1/F0)	14.13%	17.57%	10.90%	-12.03%	32.26%	12.87%
Curr. Cash Flow Growth	16.07%	16.07%	8.27%	22.44%	12.99%	13.95%
Hist. Cash Flow Growth (3-5 yrs)	30.14%	30.14%	9.07%	6.06%	105.87%	34.44%
Current Ratio	1.15	1.44	1.18	1.85	1.53	0.86
Debt/Capital	33.42%	13.76%	38.55%	41.22%	13.76%	4.13%
Net Margin	27.49%	7.95%	12.93%	38.37%	-0.89%	7.95%
Return on Equity	160.08%	4.15%	17.30%	38.79%	2.29%	10.53%
Sales/Assets	0.71	0.44	0.53	0.41	0.49	0.36
Proj. Sales Growth (F1/F0)	14.70%	17.89%	6.95%	3.30%	23.50%	23.70%
Momentum Score	F	-	-	B	D	D
Daily Price Chg	3.87%	7.24%	0.38%	2.01%	12.14%	6.84%
1 Week Price Chg	0.81%	-1.97%	0.53%	-3.57%	-3.51%	-6.36%
4 Week Price Chg	13.47%	26.08%	0.43%	12.35%	24.05%	26.08%
12 Week Price Chg	95.67%	90.22%	6.79%	-2.18%	87.48%	101.70%
52 Week Price Chg	58.99%	19.18%	20.82%	-37.37%	78.10%	83.56%
20 Day Average Volume	5,673,918	3,309,277	3,007,357	1,087,961	10,154,914	6,891,706
(F1) EPS Est 1 week change	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
(F1) EPS Est 4 week change	0.68%	0.68%	0.00%	0.00%	1.88%	0.00%
(F1) EPS Est 12 week change	6.55%	1.67%	0.93%	-1.38%	-5.74%	-5.05%
(Q1) EPS Est Mthly Chg	-0.57%	0.00%	0.00%	0.00%	-2.33%	0.00%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	F
Growth Score	B
Momentum Score	F
VGM Score	F

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

Disclosures

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